

# July labour force preview

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June's bounce in employment was matched by firmer labour supply, leaving unemployment broadly steady. That looks consistent with balance for now, but we still expect slack to emerge later this year. The recent sharp lift in underemployment suggests this may already be happening.



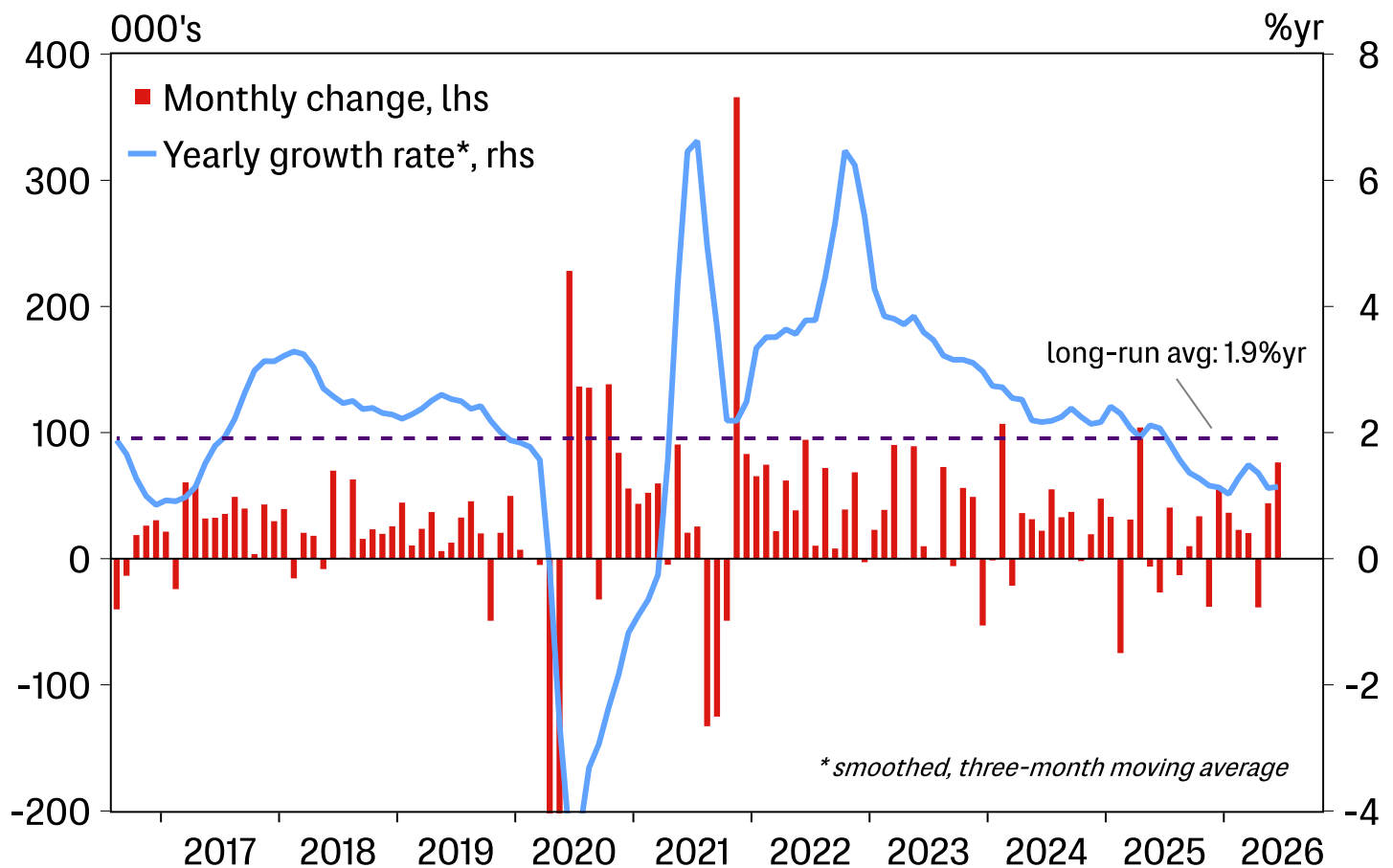
- The June LFS surprised materially to the upside. Employment jumped +76.3k, but the strength was matched by a sharp lift in participation, leaving the unemployment rate broadly steady at 4.4%.
- June's mix of stronger employment, higher participation and a flat-to-slightly higher unemployment rate is consistent with a labour market that is broadly in balance, with labour demand and supply moving broadly in step.
- We still expect labour market slack to emerge later this year, as labour force growth continues to outstrip employment growth, seeing the unemployment rate move into the high 4's by year-end.
- The recent rise in underemployment is worth watching, with both official and supplementary measures pointing to a broader lift in spare capacity that could foreshadow higher measured unemployment down the track
- For July, we have pencilled in a smaller lift in employment of 15k lift and a slight tick down in participation to 66.9% as some of last month's noise fades, leaving the unemployment rate broadly steady at 4.4%.

### ***June LFS: employment bounced on firmer labour supply***

Employment surprised materially to the upside in June, jumping +76.3k following a couple of volatile readings over April (-38.6k) and May (+44.0k). The strength in employment was matched by a sizeable lift in labour supply, which drove a 0.3ppt bounce in the participation rate to 67.0%. That was also well above all analyst expectations, marking the highest participation in over a year. Since the increase in employment was matched by new entrants into the labour force, the unemployment rate held steady at 4.4%, though at the second decimal place it edged slightly higher (4.37% to 4.43%).

Explaining at least some of this surprise, the ABS noted that in May there was a larger than usual group who had a job lined up but had not started working – come June they had moved into the labour force and started work. While we do not have exact figures on this dynamic, it helps explain at least some of the reason why the unemployment rate did not fall, as the increase in jobs was largely matched by a parallel increase in labour supply.

# Employment growth



Source: ABS, Macrobond, Westpac Economics



## ***Labour market is broadly balanced for now***

As detailed by [Chief Economist Luci Ellis](#), an upside surprise on participation and employment correlating with flat-to-up unemployment rate is exactly what we should expect to see when the labour market is broadly in balance.

In a labour market with some slack (as was largely the case before the pandemic), a stronger-than-expected lift in employment would usually pull people out of unemployment, so the unemployment rate would tend to fall. Participation might rise a little, but the main adjustment is through fewer people being unemployed.

In a very tight labour market, employers are constrained by labour supply – they can only add workers if more people are willing or able to enter the labour force. In that case, stronger employment would need to be matched by stronger participation, while unemployment would be more likely to hold steady or decline.

June's result is an example of something in between these two scenarios. Employment and participation both rose strongly, but unemployment also edged higher. That is not a sign of an 'overly'

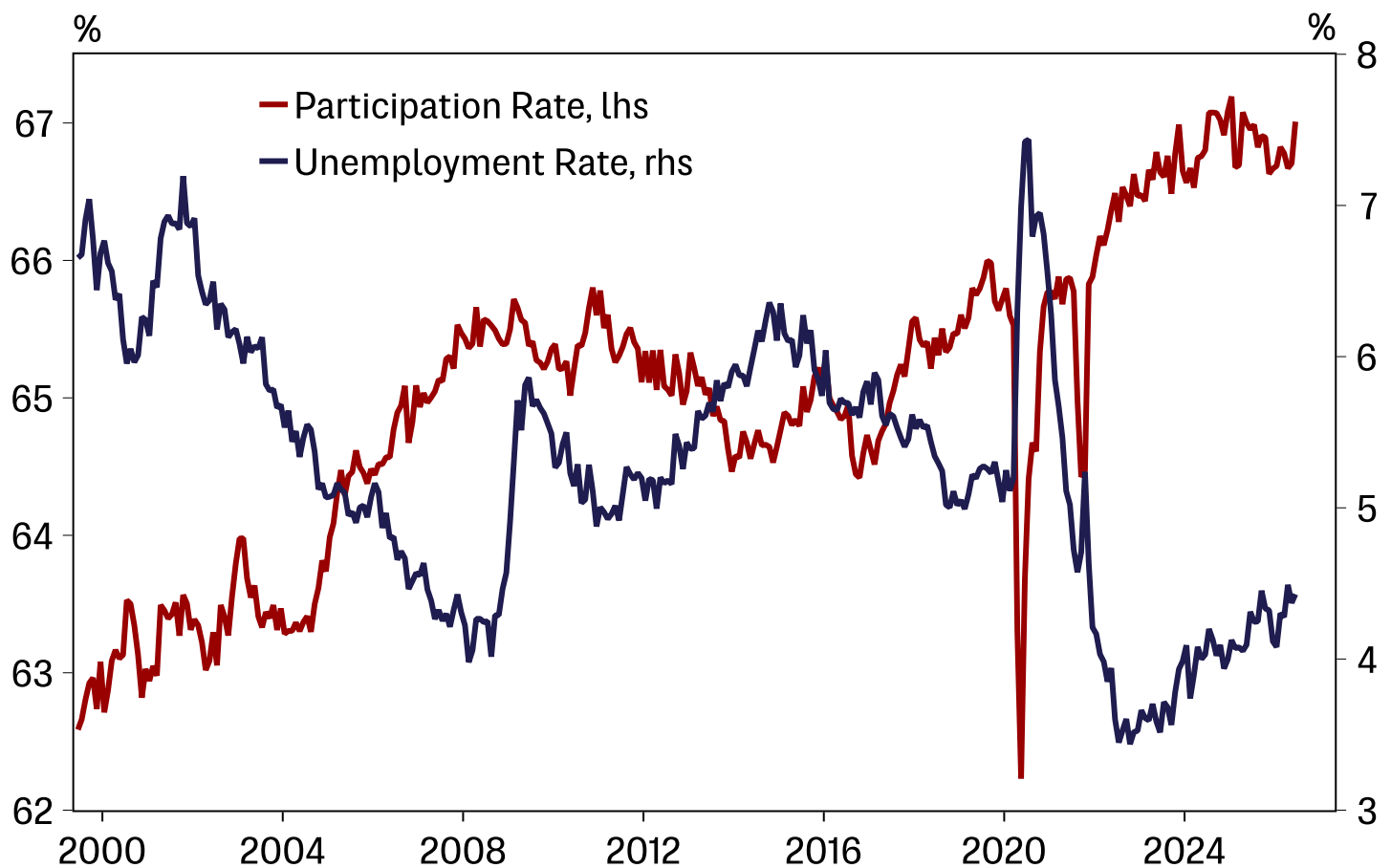
tight labour market, but it is not clear evidence of outright weakness either. It suggests that labour demand and supply are moving broadly in step, with monthly noise determining whether the unemployment rate nudges up or down.

### ***Slack to emerge later this year***

Over the second half of this year, we expect the unemployment rate to continue drifting higher as growth in labour supply outstrips labour demand. At present, employment is growing at an annual pace of around 1.1%yr after smoothing with a three-month average. That is well below the long-run average of 1.9%yr and the current pace of working-age population growth (1.8%yr). High inflation, recent interest rate rises and lingering uncertainty makes for a challenging hiring environment, as evinced by recent business surveys.

While a softer economy and employment backdrop would typically discourage some individuals in their search for work, added pressure from the cost-of-living and interest rate rises acts as a counterweight, drawing more people into the labour market. Add in the slower-moving positive structural forces around rising female and older age participation, and the overall participation rate looks set to remain at least broadly stable near-term. Even with a steady participation rate, labour force growth can outrun employment growth, seeing the unemployment rate move into the high 4's later this year.

## **Participation and unemployment rates**



Source: ABS, Macrobond, Westpac Economics



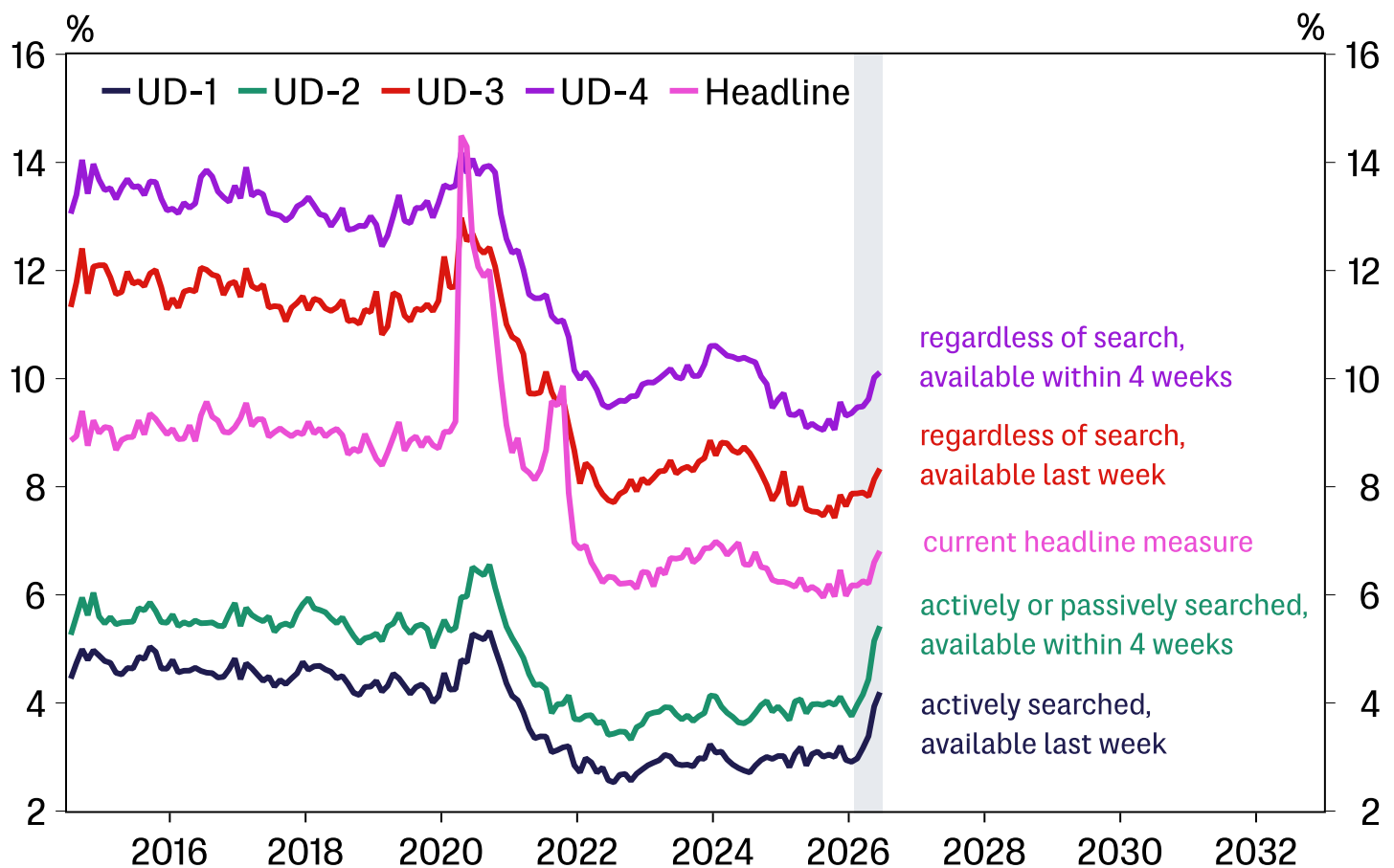
## Rising underemployment is a signal worth watching

Recently, we have also been highlighting the rapid rise in underemployment – those who are employed but are available for and seeking additional hours of work. Over the past two months, the headline underemployment ratio (underemployed-to-employed) has jumped 0.6ppts to 6.8%, the highest rate in over two years.

Additional measures of underemployment in the 'u-series' publication corroborate this signal and provide more clues on the nature of the increase. So far this year, the 'broadest' measure of underemployment (UD-4) has risen 0.8ppts from 9.3% to 10.1%, while the 'narrowest' (UD-1) has surged 1.3ppts from 2.9% to 4.2%. This not only tells us that there has been an increase in total underemployment in the broadest sense, but there has also been shift *within* the underemployed – more people say they are *currently available* and are *actively searching* for more hours.

The lift in underemployment should be watched closely, as it may be a pointer to higher measured unemployment down track, particularly if it is providing a clearer signal on the effect of higher cost-of-living pressures on increased labour supply

## Underemployment rate: 'u-series' vs. official measure



Source: ABS, Macrobond, Westpac Economics



**What are we expecting for July?**

For July, we have pencilled in a lift in employment of 15k, and with the participation rate ticking down slightly to 66.9%, we think the unemployment rate will hold steady at 4.4%.

Our expectation for a slight decrease in the participation rate has less to do with our view on the near-term stability and longer-term uptrend we envisage, but more to do with the fact that the LFS is noisy. Recall that the participation rate bounced 0.3ppt in June, partly driven by a group that already had an attachment to a job the month prior but were simply not counted as being part of the labour force. There was likely some other noise in the mix too, and in line with the survey's natural month-to-month volatility, a slight downtick is a likely outcome.

Rather of focusing on the employment change, we recommend watching the employment-to-population ratio. The July LFS, being the first month of the quarter, will require the ABS to update its projections on the current pace of population growth, which are then used to 'scale up' the survey results for employment to a national level. These projections still appear to capture some upward bias, resulting in downward revisions to employment growth the next month (in August) once the ABS can re-benchmark to official population data. The employment-to-population ratio is immune to such noise, so it will provide a clearer reading on the day.

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